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GUCCI: STAYING RELEVANT IN LUXURY OVER A CENTURY

The world is changing. The way in which we approach luxury today is so different from the past that we need to be open to this revolution that is happening.

- Marco Bizzarri, CEO and President, Gucci[1]

Gucci, a leading luxury brand world-wide, ended the year 2019 in a strong position with €9.6 billion (US$10.7 billion)[2] in revenues and €3.9 billion (US$4.4 billion) in profits. This was a remarkable turnaround from 2015, when it had struggled through a few years of stagnation. At the helm of this transformation were Marco Bizzarri, its President and CEO, and Alessandro Michele, its creative director, who attempted to redefine luxury and contemporise the brand to connect with young and diverse new-age luxury consumers. The duo spearheaded a cultural evolution at Gucci and the luxury industry at large by adopting purpose-driven and digital-oriented strategies, besides rolling out avant-garde, edgy and eclectic collections. By end-2019, Gucci reinstated its position as the world's fastest growing luxury brand, having tripled its sales and quadrupled its profits over 2015 figures.[3]

However, 2019 saw a smaller increase in Gucci's revenue at 13.3% year-on year, as compared to 2018 and 2017 when its sales had rocketed by 33.4% and 44.6% respectively. Did the slowdown indicate that it was time for Gucci to reinvent the brand yet again to stay relevant? Moreover, Gucci's recent entry into beauty products was a bold but a risky step as the category's pricing structure differed significantly from its other product lines. Would the line extension help Gucci capture the attention of younger consumers by offering them access to the coveted luxury brand, or would it end up diluting the brand's equity?

These concerns, however, paled in comparison to what the fashion house faced in 2020 with the outbreak of the Covid-19 pandemic. In the past few years, an upbeat consumer confidence in most regions barring North America and the growing number of international tourists worldwide had driven growth in the personal luxury goods market. But, with the spread of the pandemic, retail and tourism had collapsed and the luxury market was set to contract by 20-35% by the end of 2020.[4] Gucci's performance nose-dived. In the first half of 2020, the fashion house recorded its steepest fall with sales down by 33.8% and its operating income cut by over 50%.

Globally, unemployment stood at 5.42% and GDP was estimated to contract by 3.8% by the end of the year.[5,6] During the second half, most nations still had substantial parts of their economies under lockdown and some countries had begun seeing a resurgence in Covid-19 cases reported. There was considerable uncertainty regarding when the global pandemic would subside and the associated lockdowns be lifted.

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China, where the pandemic had originated, had gradually reopened its economy in some cities from March 2020. There was an increase in the footfall at Gucci stores and Chinese consumers were displaying a renewed 'propensity to shop'.[7] More than a dozen Western luxury brands reported double-digit revenue growth in China during the second quarter, just as sales collapsed in other parts of the world. On reopening, would other key markets also recover as quickly as China or would the crisis induce a lasting impact on consumer buying behaviour, with people shying away from spending on luxury and opting to save instead? Moreover, the increasing dependence on China for Gucci and the luxury industry surfaced its own set of risks.

The Personal Luxury Industry

During 2014-2019, the global luxury market grew 1.5 times, from €850 billion (US$952 billion) in 2014 to €1.3 trillion (US$1.5 trillion) in 2019. Within the industry, the personal luxury goods segment was the second most valuable segment (after luxury cars) and increased from €186 billion (US$208 billion) in 2011 to €281 billion (US$315 billion) in 2019 (refer to **Exhibit 1** for details on annual growth rate over 2011-2019).[8]

Personal luxury comprised three broad classifications: soft luxury (apparels, footwear and leather goods); hard luxury (watches and jewellery); and fragrances and beauty products (refer to **Exhibit 2** for details on category sales and growth rates). Regionally, Asia was the fastest growing region accounting for 35% of global sales, followed by Europe at 31% and Americas at 30%. Since 2012, China had contributed 70% of the expansion in the industry. In 2019, it grew by 26% to reach €30 billion (US$33.6 billion) in market size, accounting for 90% of the industry's growth globally.[9] In addition, Chinese tourists propelled the growth of the industry in other destinations too and at airport outlets. Despite low growth, the US was still the largest market at €75 billion (US$84 billion; refer **to Exhibit 3** for details on top eight luxury markets).[10]

In 2019, 61% of the global luxury goods market was sold through wholesale channels, which included department stores, independent high-end multi-brand stores and franchise stores. The retail channels–directly operated store networks by the luxury brands accounted for the remaining 39%. Over 2017-2019, the focus on direct selling had helped the retail sales grow steadily by 4-7%. In general, brands had taken greater control and their own retail channels' share was increasing at the cost of wholesale.

In another classification of channels, the brick-and-mortar stores dominated with an 88% market share. Luxury buyers preferred to shop at mono-brand stores (31% market share), followed by speciality stores (20%) and department stores (18%). The off-price stores and airport outlets, which had the lowest market shares (13% and 6% respectively), were the second fastest growing channels (after online) at 11% in 2018, and 7% in 2019.[11,12] But, physical stores were fast losing ground to e-commerce with online buying accounting for 12% of the market.[13] Beyond sales, online informed 75% of global luxury transactions, with accessories followed by apparel as its top selling categories.

Competitive Landscape

The global personal luxury goods market was a fragmented market comprising fashion houses that were either part of large conglomerates or independent entities. Gucci saw Chanel as well as Louis Vuitton and Christian Dior (from the stable of Louis Vuitton Moet Hennessey, LVMH) as its main competitors.

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Founded in 1909 as an accessory brand (especially hats), Chanel recorded €10.8 billion (US$12 billion) in sales and €3.1 billion (US$3.5 billion) in operating profit in 2019, and offered the most premium priced product portfolio comprising haute couture, fashion, leather goods, jewellery, watches, eyewear, fragrances and beauty products (refer to **Exhibit 4** for the images of its products and **Exhibit 5** for its collections).[14,15] The fashion brand, considered the epitome of French heritage, elegance, liberated femininity and simplicity, appealed strongly to sophisticated socialites and business women. Its leather goods and ready to wear categories were not only the most premium priced, but also fetched the highest resell value in the second-hand market.

In 2019, LVMH (the conglomerate that owned 75 fashion houses) reported €53.7 billion (US$60 billion) in total revenues and €11.5 billion (US$12.9 billion) as operating profits, with Louis Vuitton and Dior as its two leading luxury brands.[16] Louis Vuitton (the second most premium French brand after Chanel), founded in 1854 as a luggage brand, had expanded its product range to include ready-to-wear, accessories, shoes, watches and jewellery besides leather goods, and sold exclusively through its boutiques (refer to **Exhibit 5** for its collections and **Exhibit 6** for the images of its products). Its travel-inspired and innovation-led designs were edgy, futuristic and street-style, and targeted young luxury buyers.

Christian Dior, established in 1946, was particularly renowned for its women-oriented, opulent and classically tailored designs, and hailed as the pioneer of the 'new look movement' that replaced the wartime fashion of harsh utility and masculine-style designs with radically feminine, curvy shapes and lines. Favoured by young society ladies, feminists and modern business women in 2019, the luxury brand turned in solid growth in all its markets from all its product categories, including ready to wear, leather goods, shoes, accessories and watches and jewellery (refer to **Exhibit 5** for its collections and **Exhibit 7** for the images of its products). More premium than Gucci, Dior had a record-breaking success of its exhibition in London that drew nearly 600,000 visitors.[17]

The Emergence of Youthful Luxury Consumers

Over the past decade there had been a steady shift in the core consumer profile of luxury brands. By 2019, the younger generations – Gen Y (born between 1981 and 1996, also known as millennials) and Gen Z (born between 1997 and 2012) contributed 100% of the industry's growth. Gen Y accounted for 35% of the luxury consumption, while Gen Z at 4% were expected to drive the industry's future. Together, by 2025, they were predicted to reach 55% market share and contribute 130% of the market growth.[18] These younger generations were markedly different from the traditional customers of luxury in their behaviour, lifestyle and shopping habits. They demanded a significant change in the way luxury brands operated and the values they espoused.

Values Sensitivity

The traditional hallmarks of a luxury product - high quality craftsmanship and exclusivity - were losing importance to the higher purpose, authenticity and passion of the brand. According to the 2019 Luxury Goods Worldwide Market Study,

> *Social responsibility remains top of mind for luxury customers and encompasses more than just environmental impact: 80 percent of luxury customers say they prefer brands that are socially responsible, particularly among millennials. Further, 60 percent of luxury customers think luxury brands should be more engaged than other industries.*[19]

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During 2016 - 2019, online searches for sustainable fashion tripled, and in 2019, 75% of the millennial respondents in a US-based consumer survey reported that they considered sustainability first when making a luxury purchase.[20]

The new generation of consumers also debunked traditional thinking on culture, race, size or gender, embracing diversity and inclusivity, and looked for the same in luxury brands. In 2018, modest fashion designed for Muslim consumers accounted for 40% of the luxury women's ready-to-wear category. Similarly, the inclusive plus-sized fashion market was on the rise and expected to clock US$32 billion in 2020.

The concepts of masculinity and femininity were transforming, with younger generations opting for gender-fluid fashion. In a 2017 Harris Poll, 12% of millennials identified themselves as transgender or gender non-conforming.[21] In 2018, 35% of Gen Z respondents and 25% of the millennial respondents in the US claimed personally knowing someone who preferred to be referred by gender-neutral pronouns (they, them).[22]

However, most of the luxury brands lagged in embracing the new paradigm. Fashion was one of the most wasteful and polluting industries, and brands such as Burberry used to burn their unsold luxury goods rather than sell them on discount.[23] Finally, in June 2019, a ban on the destruction of unsold fashion goods was introduced in France, the centre for luxury fashion, with companies directed to donate, reuse or recycle.[24]

Digital Orientation

Young luxury shoppers increasingly used social media platforms, where they were influenced by their peers and celebrities while making product choices and purchase decisions. In a survey in 2018, 21% of the millennials were found to depend on social media for inspiration on what to buy and wear in high-end fashion and luxury products.[25]

In 2019, Facebook had 2.5 billion monthly active users, and both Instagram and WeChat had over one billion users each. Besides the global players, there was an explosion of regional next-gen specialised social media networks that focused on users' specific psychographic and demographic appeals. These included the likes of Singapore-based Dayre, a safe space where women could come together to express themselves, couple messaging apps Pairs in Japan and Between in South Korea, interest-based community apps Hike and Helo in India, and TikTok, Bilibili, Douyin and Xiaohongshu in China. Bilibili, a short video platform like TikTok, focused on gen Z, while Xiaohongshu catered to millennial women looking for beauty, fashion and lifestyle recommendations, and Chao was its equivalent for male consumers. Douyin enabled its users to select a person or item of clothing and search for other posts containing them for comparisons, reviews and purchases. WeVerse in South Korea enabled K-Pop idols to connect with their fans and included Gucci's global ambassador Kai (of EXO), and Chanel's house ambassador Jennie Kim (of Blackpink).[26]

The inability of the established luxury brands to keep pace with these dynamic social networks had led to a widening gap between them and their target audience. Identifying, selecting, and effectively engaging with key influencers on these social networks had become an essential marketing competence. Luxury firms were struggling to reconcile their traditional desire for control over the "brand image" with the freedom of expression that key influencers demanded.

Recommerce

Online migration of luxury buyers, along with their emphasis on pro-environment and authenticity, and open endorsement by celebrities like Kardashians-Jenner, led to a growing acceptance of

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recommerce - buying and selling of pre-owned luxury goods. In 2019, 34% of true-luxury consumers – those who averaged US$39,000 in total luxury spending were found to sell second-hand products, while 26% bought pre-owned goods.[27] The specialised e-platforms such as Farfetch, TheRealReal, Poshmark and Luxury Garage Sale emerged to enable resale and repurposing of high-end fashion brands, while contributing to sustainable consumption.

In 2019, the second-hand market for luxury goods grew to €26 billion (US$29 billion) from €22 billion (US$25 billion) in 2018, and was growing four times faster than the primary market. While watches and jewellery accounted for over 75% of all purchases, fashion and accessories were gaining traction too.[28] Luxury brands, such as Louis Vuitton, Chanel and Gucci, were starting to adopt it either on their own platforms or by partnering with third-party platforms.

History of Gucci Group

In 1921, Guccio Gucci started as a luxury luggage and equestrian equipment manufacturer, opening the first store Gucci in Florence, Italy. Crafted of the finest Italian leathers, his products and designs soon gained popularity among the affluent, with the company expanding into apparel, shoes and handbags. With leather becoming difficult to source during the Second World War, Gucci turned to alternative textiles such as cotton and bamboo. It created a specially woven tan hemp with an interlocking diamond symbol printed on top, which went on to become its signature design, and launched its iconic bamboo bag (refer to **Exhibit 8** for images of its bags with bamboo handles).

In 1951, Gucci opened a store in Milan, and in 1953, it went international by entering New York, USA. The brand developed a following among Hollywood stars and American celebrities including Elizabeth Taylor, Peter Sellers, John Wayne, Jackie Kennedy and Grace Kelly. By 1960s, Gucci became the 'go to' luxury brand of the rich and famous globally, with Princess Margaret of England, Audrey Hepburn, and Imelda Marcos among its loyal international clients, and successfully expanded into the world of luxury accessories including eyewear, watches and jewellery. This was also the time when it introduced its distinctive 'Double–G' monogram, and the Gucci stripes (refer to **Exhibit 9** for details).[29]

In the 1970s, Gucci's business grew 25 times over the previous decade.[30] However, in the 1980s, fissures appeared in the company's performance due to the Gucci family disputes, disgruntled employees and tax evasion charges, which brought the house close to bankruptcy. The company sought and received support from various investors over 1989 to 1999, before being fully acquired by Pinault Printemps Redoute (PPR) in 2001. The Gucci group's revenues had soared to US$2.25 billion, with a profit margin of 47% for the year 2000.

In 2013, the group was renamed 'Kering', and by end-2014, its portfolio included, among others, Bottega Veneta, Alexander McQueen, Balenciaga, Brioni, Stella McCartney, Sergio Rossi, Boucheron, Girard-Perregaux and Saint Laurent.[31] By 2019, Kering was active in more than 120 countries, had 38,068 employees, and reported revenue of €15.8 billion (US$17.7 billion) and operating profit of €4.8 billion (US$5.4 billion).[32] Gucci dominated the group's business with a contribution of 63% to its revenues and 78% to its profits. Bottega Veneta and Saint Laurent followed with a combined share of 21% and 15% of the group's revenues and profits respectively.[33]

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Gucci Brand's Creative Journey

In the late 1980s, Gucci's brand equity was significantly diluted because of the proliferation of its accessories collection, which comprised some 22,000 products including key chains, alcohol, playing cards and toilet paper that carried its logo and were sold through department stores. There was also a significant rise in counterfeit Gucci products such as its coveted handbags. To reinvigorate the brand, Dawn Mello, Bergdorf Goodman's ex-president, was appointed as the fashion label's new creative director in 1989.

Mello and her team downsized the product line from 22,000 to 7,000 and reduced the number of retail stores from 1,000 plus to 180.[34] However, most of the designs introduced under Mello failed, and in 1993, the company reported a loss of US$102 million.[35] Consequently, Mello quit, and in 1994, her assistant Tom Ford, the American ready-to-wear designer, was promoted as the creative director.

Tom Ford

> *The most important thing to remember when designing a brand is that a great brand must stand for something. Your message must be strong, powerful, and it must be delivered quickly.*
>
> - Tom Ford, Former Creative Director, Gucci[36]

Ford turned Gucci around by reclaiming the opulence and extravagance once associated with the brand, and streamlining the product line to focus only on luxury retail. His collections for 1995 and 1996 helped Gucci restore its cult status (refer to **Exhibit 10** for details). The new designs found an immediate resonance in the market, and Gucci's revenues doubled from 1995 to 1996.

Besides creating designs, Ford was also responsible for visual merchandising and advertising, and ensured that the brand's displays and campaigns were in line with its brand positioning. He created racy on-the-edge advertisements, which despite being controversial, revolutionised the high-fashion industry and recharged the Gucci brand (refer to **Exhibit 11** for details). In 1999, he relaunched the iconic 'Jackie' bag, which became the must-have item that year.[37]

Despite Ford continuing to deliver successfully, he quit in 2004 due to differences with the parent company. Alessandra Facchinetti replaced Ford as the creative director for womenswear. However, barely two seasons later, in 2006, she was replaced by Frida Giannini, who took over as the creative director for both womenswear and menswear.

Frida Giannini

> *Duality: the ability to look ahead without losing sight of the past.*
>
> - Frida Giannini, Former Creative Director, Gucci[38]

Giannini stepped away from her predecessor's mantra of sex appeal, and instead focused on reviving and refreshing the classic Gucci designs, such as the Flora print (inspired by and created for Grace Kelly, princess of Monaco in 1966), the Bamboo bag which had first appeared in 1947, and the red and green equestrian stripes which had been introduced in the 1950s. Her ready-to-wear collections were also influenced by the designs of the past such as the 80s glam rock, 70s vibrant colour palettes, and the 20s and 40s Schiaparelli inspired evening dresses (refer to **Exhibit 10** for the images of her collections).[39]

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Her attempts initially proved to be massively successful, despite the red and green stripes becoming the most copied design by early 2000s, leading to a surge in tacky counterfeits. However, both critics and customers panned her subsequent collections during 2013-2014, describing them as repetitive and lacking innovation and creativity. In addition, they were deemed as gaudy, stale and logo obsessed, with two-third of the brand's revenue contributed by logo-centric designs. The dismal state of the brand by the end of 2014 – a 1.8% decline in sales, 6.7% drop in its profits and poor reviews - led to the ouster of both Giannini and Patrizio di Marco, Gucci's CEO since 2009.[40]

Repositioning Gucci: A Disruptive Approach to Luxury Fashion

> *Gucci had become a brand that had too much emphasis on craftsmanship, to the point that it was no longer pushing the boundaries of fashion...For Gucci to evolve to its next phase, the change had to be swift and company-wide - something that would affect the company culture….*
>
> - Marco Bizzarri[41]

In January 2015, Bizzarri, the former CEO at Stella McCartney and Bottega Veneta, was brought in as the new CEO of Gucci. He recognised that Gucci, and the luxury industry, needed to reinvent to stay relevant in an environment that was fast evolving in terms of culture, consumer expectations and technology. And in his endeavour, Bizzarri found a partner in the relatively unknown Alessandro Michele, a Gucci insider since 2002, whom he appointed as the new creative director.

Alessandro Michele

> *When Gucci started, it was another age. If you bought a Gucci bag, you belonged to the jet set. The jet set doesn't exist anymore. I'm trying to speak to the world, to everyone.*
>
> - Alessandro Michele, Creative Director, Gucci[42]

Michele had to put together his first collection for menswear in less than a week because of Giannini's premature departure, followed by the women's collection for the same season a month later (refer to **Exhibit 10** and **Exhibit 12** for more details on his designs and collections). Favourable results began to show immediately, and in 2016, Gucci's sales grew by 13 percent to reach US$5.9 billion.[43] Michele was given the "Designer of the Year 2016" award by British GQ magazine, the "International Accessories Designer of the Year 2016" for the second year consecutively by the British Fashion Council, and the "International Award 2016" from the Council of Fashion Designers of America (CFDA).[44]

During 2015-2019, Bizzarri and Michele undertook many strategic initiatives that drove and accelerated the transformation of the luxury industry while reinstating Gucci's position unequivocally as the trendsetter and the industry leader. The first and the foremost was setting up a shadow committee of millennial advisors, structured of Gucci's most talented employees below the age of 30 years. The groups' insights served as a wake-up call for Gucci, promoting a different way of looking at things.[45]

Cross-generational Appeal

To appeal to the young generations while retaining its conservative loyalists from the past, Gucci focused on creating a product range that comprised both existing and potential trends, with an aim to target a state of mind rather than just age. It created high fashion clothes by blending luxury with street wear (such as the 'bootleg' inspired logo T-shirt, horsebit fur-lined loafers or eclectic sneakers), and heightened the social consciousness of the brand through its inclusive gender-fluid clothes such

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as pussy-bow blouses, patent leather boots, thigh skimming silky shorts and handbags for men.[46] In the brand's runway shows, Michele would often have the male models wear items from the women's collection and vice versa. These luxury accessories with bold colours and patterns, including contemporised Gucci's iconic symbols such as the GG logo with floral and animal motifs, soon became a rage with young luxury seekers.[47]

In addition, Gucci replaced its old brand ambassadors like Grace Kelly and Jacqueline Kennedy Onassis with contemporary ones like Beyoncé, Rhianna, Blake Lively, Brad Pitt, Rachel McAdams and Salma Hayek; and used celebrities like Sir Elton John and Lady Gaga as inspirations for its fashion shows and designs.[48] Michele also actively collaborated with artists like Coco Captain, Pusha T, and 2 Chainz, and entities like Major league Baseball, to co-create content that enabled Gucci to connect with the hip-hop crowd, and drive its demand among them.[49] By 2017, in just two years, there was a radical change in the profile of Gucci customers, with millennials' contribution to the revenues of the fashion house growing from almost nothing to 50%, which by 2019 increased to 60%.[50]

Gucci also strived to embrace social values that the young esteemed and increasingly expected from luxury brands. In 2017, it partnered with director Glen Luchford to create 'Soul Scene', a short music film that supported the global black movement and featured only black models. Later, in the year, when the fashion label was accused of copying Harlem designer Dapper Dan in its Resort runway show, it not only publicly apologised but also partnered with Dan to co-create collections and supported him in establishing his own atelier. In 2018, Gucci, unlike its earlier policy of corporate neutrality, supported the anti-gun movement and contributed US$500,000 to the cause following the mass shooting at Stoneman Douglas High School.[51]

Adopting sustainability as its core value, in 2017, Gucci vowed to stop using animal fur, and committed to a ten year 'Culture of Purpose' charter that aimed to reduce the environmental impact, enhance employees and community welfare, and improve operational and production efficiency through structural innovations.[52] In 2018, the company launched Gucci Equilibrium, an online platform that detailed and tracked in real time the initiatives taken by the company in upholding the charter.[53] By 2019, the company went carbon neutral, including its entire supply chain, and at the G7 summit held during the year, its parent Kering spearheaded French President Emmanuel Macron's new Fashion Pact that aimed at stopping global warming, restoring biodiversity and protecting the oceans.[54]

Social Media Thrust

> *In social media terms, we see Gucci's platforms both as open doors to the outside world – allowing him [Michele] to co-create with other people – and a reflection of what millennials believe in.*
>
> - Robert Triefus, EVP, Brand and Customer Engagement, Gucci[55]

Gucci developed original social media campaigns, often in collaboration with celebrities and entities. For example, in 2016, Michele launched #GucciGram, an insta-initiative where artists were invited to rework iconic Gucci patterns in any way they deemed fit.[56] In 2017, Gucci partnered with GQ to produce a film series with up-and-coming male artists and uploaded it on its website, while posting short clips as Instagram stories[57].The fashion house also created its first meme-inspired campaign ##TFWGucci (That Feeling When Gucci), to launch its new watch collection, Les Marché Des Merveilles, by teaming up with popular meme artists like @youvegotnomale, @textsfromyourexistentialist, @scariestbugever and visual artists like Olaf Breuning.[58]

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By 2018, Gucci was active on multiple social media platforms including Instagram, Twitter, Facebook, WeChat and Snapchat. Unlike earlier, when campaigns were launched only at the time of two seasonal collections and the pre-collections, the fashion brand generated content frequently to drive a high level of traction and user engagement (refer to **Exhibit 13** for comparison with other luxury brands).[59,60] Besides tailoring the content for each social handle, the fashion house also ensured that the same stories were told at all other interfaces as well, including its website, packaging and offline platforms. In Triefus's view, "the ability to connect all the dots in a coherent, cohesive way, is a really fundamental element in Gucci's success".[61]

Omni-Channel Approach

Going Digital

> *We need to stay ahead of the competition and rethink how fashion is conceived and experienced, which means factoring in the role of digital.*
>
> - Marco Bizzarri[62]

In 2015, Gucci relaunched its website, received 100 million visitors by the end of the year and recorded US$19.3 million in online revenues at an annual growth of 22%.[63] In 2016, it followed up with an investment of 35% of its total budget to strengthen its digital interface and omni-channel retailing.[64]

Gucci's e-commerce stores offered a wide range of merchandise and mirrored its runway look for each outfit, comprising visually stimulating and aesthetically pleasing product pages with a detailed breakdown of each collection - the inspiration behind it and the stories of each item and design. It also offered top-tier functionality with full services such as robust search and navigation, free returns, a find in-store option, product information, gift wrapping and customer service via phone and e-mail shipping, and free two-day shipping. Consecutively in 2016 and 2017, Gucci was judged as the best performing digital fashion brand (including website and e-commerce, digital marketing, social media and mobile).[65] By the end of 2017, Gucci had a 130% increase in web traffic, surpassing that of erstwhile leader Louis Vuitton.[66]

While Gucci did partner with key e-commerce sites, including Tencent, the fashion house primarily focused on developing in-house digital capability to keep control over its merchandise and branding instead of relying on third-party sellers.[67] By the end of 2019, it sold exclusively through its 487 directly operated physical stores, a directly operated online store active in 35 markets, a few franchises, and select department and specialty stores - offline and online.[68] Gucci also reinvented the traditional shop assistant role by launching a global client service centre based in Florence, with regional hubs in the US, Korea, Japan and Southeast Asia, offering a seamless and personalised experience to e-shoppers. Potential customers could connect directly with its 350 dedicated online client advisors by phone, email or live chat to discuss product-related queries.[69]

New Retail Formats

> *It's the idea of a candy shop...You come, you pick, you enjoy.*
>
> - Marco Bizzarri[70]

Gucci's experiential retail strategy was borne out of Bizzarri and Michele's belief that millennials and younger generations were bored with traditional stores and bland websites and increasingly

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looked for differentiated and interesting experiences.[71] Besides remodelling the stores, the 'new store concept' involved fully integrating the in-store experience with Gucci's digital platforms.

By end 2019, Gucci had renovated 60% of its total physical stores, and planned to finish the process by 2021-2022.[72] The new stores, with their open and light concept, aimed to create an accessible, intimate and friendly retail environment bringing products and millennials closer together. Their soft and welcoming décor comprised tufted velvet walls, armchairs and sofas, marble staircases, colourful exotic carpets and vintage displays, with shoppers encouraged to touch, feel and try the merchandise. The stores also included multisensory screening facility with 3D technology enabling customers to listen to house documentaries, checkout upcoming collections, or use augmented reality applications to design their own bags or shoes. The old culture of security guards was done away with, replaced by store associates, called connectors, to provide assistance and narrate Gucci's story.[73]

In 2017, the first store in South-east Asia was revamped in line with the new vision at Ion Orchard, an upmarket shopping mall in Singapore. It allowed shoppers to customise handbags with different embroidered and bejewelled patches, and personalise sneakers with their initials.[74] In the US, Gucci renovated its10,000 square feet outlet at SOHO, New York in 2018. Brightly lit and colourful, the boutique-store featured a mix of haute couture and high street merchandise, with video installations and copies of a 1985 issue of Interview magazine featuring Madonna.

In 2018, Gucci worked towards overcoming its under-representation in the rapidly growing travel retail (that encompassed airport stores, in-flight purchases, duty-free stores neighbouring airports, cruises and online orders picked up at the airport) by adding 11 net locations in the channel. Travel retail had increased by 9.3% to reach US$76 billion in 2018 and was particularly driven by travellers from emerging markets including China, India, Russia and Brazil.[75] Gucci was also active in the second-hand luxury market and was the most sought-after brand followed by Louis Vuitton.[76] Its parent Kering had partnered with The RealReal, the leading online marketplace for authenticated, consigned luxury goods, to sell its brands' unsold goods instead of destroying them.

Continuing with its strategy to drive direct sales, in November 2019, Gucci introduced the concept of themed pop-up stores, debuting in Denver, US, with plans to roll out globally by the following year in cities like Paris, Seoul and Hong Kong amongst others. Known as *Gucci pin*, these stores were colourful rectangular displays that offered dedicated collections along with innovative and immersive digital experience. The theme for the first wave of Gucci pin stores was about the gift giving time of year, with Chinese New Year, Mickey Mouse, and a Psychedelic aesthetic as the themes for the next waves to follow in 2020.[77] Open on average for about five weeks, the pop-up stores were expected to reach consumer segments that were not accessible by its regular stores.[78]

By the end of 2019, the share of Gucci's retail channel sales (including online) had increased to 85% from 79% in 2014. The enhanced direct customer engagement and selling allowed Gucci to have greater control over the consumer shopping experience, product assortment, merchandising and customer service.

Merchandising

As a luxury-fashion brand, Gucci's portfolio comprised both staples (70%) that remained unchanged from season to season, and trendy items (30%) that reflected ongoing cultural conversations and created a buzz in the industry. However, this ability to cater to the different tastes and appetites hinged on its merchandising strategy. Earlier, like other luxury players, merchandising at Gucci was based on the sales data of what had worked previously. The strategy did not consider product sensibilities at the time of designing, and market feedback was often received too late, typically

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towards the end of a season. This often resulted in collections having a range of products that were not thematically aligned or/and were the poorer versions of previous seasons. According to Bizzarri, the solution was in real-time collaboration between the creative and merchandising functions.

In March 2015, he roped in Jacopo Venturini from Valentino as the new chief merchandising officer, to work together with Michele throughout the design process (and not after) for creating commercially viable product lines that comprised new and old products (from the previous seasons) that could be carried forward.[79] The new strategy enabled Gucci's collections to become more coherent, and blended, while being in line with the market insights.[80] In 2019, new introductions across all product categories represented approximately 30% of Gucci's total business.[81]

New Growth Frontiers

Continuing to break new ground, in 2019, Gucci made a foray into high-end jewellery by launching its first collection, Hortus Deliciarum or Garden of Delights, during the Haute Couture week in Paris and opened its first and only high jewellery boutique at Place Vendôme, France.[82] Jewellery, with an estimated market size of about €18 billion (US$20 billion), was one of the two fastest-growing segments (the other was shoes) of the personal luxury goods industry.[83]

The year also saw Michele reviving and transforming Gucci Beauty, the fashion brand's make-up line and fragrances. The global luxury cosmetics market size, estimated at US$53 billion in 2018, was expected to grow at a CAGR of 5.6% to reach US$81 billion by 2026. Gucci debuted with a lipstick collection housed in funky vintage floral prints, comprising 58 pieces, 36 hues and three formulations. The launch campaign on Instagram glorified 'beauty in imperfection' and underscored Michele's penchant for quirky and bold aesthetics, selling over one million lipsticks in the first month itself.[84] In addition, Gucci strengthened its mark in the fragrance world by introducing 'The Alchemist Garden', the 14-piece fine fragrance collection, created in partnership with perfumer Alberto Morillas, and followed it up with the launch of Mémoire d'Une Odeur, the first gender-neutral perfume, and a new campaign featuring famed musician Harry Styles.[85]

Gucci sold its beauty range through Coty (licensing agreement with Kering) and generated €400 million (US$448 million) in annual revenue. In comparison, Chanel, the market leader in the category, reported earnings of more than US$3 billion from beauty products. François-Henri Pinault, President and CEO of Kering, declared,

> *We want to achieve better performances in this segment. We cannot be satisfied with that, because the [fragrance and beauty] categories are gateways to a luxury label like Gucci….*[86]

A Successful Turnaround…and yet?

> *It is fair to say that the first half of 2020 has been the toughest period we have faced… Our results today underscore the extent of the disruption exacted by the pandemic on our operations.*
>
> - François-Henri Pinault[87]

Over the five-year period, 2015-2019, Gucci's revenue grew by cumulative aggregate growth rate (CAGR) of 20%, and its operating profits by CAGR of 33% (refer to **Exhibit 14** for the financial performance of the brand). However, the year 2019 clocked a much lower annual growth than 2018 and 2017. Was this slowdown just a minor bump in the road? After all, it was inevitable that Gucci would not be able to sustain its exponential growth for long and would eventually settle to a more

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reasonable pace. Or was this an indication that the newness of Michele's designs had begun to wear off, and it was time to reinvent again?

Another point of dilemma for Gucci was about its recent entry in the high-end beauty category. As cosmetic products were an affordable entry point to buy luxury brands, unlike the 'out of reach' handbags or shoes, Gucci hoped to reach out to a larger and younger audience for whom the brand was aspirational but unaffordable. However, could the luxury brand's easy availability hurt its equity? Moreover, the beauty market already had firmly established brands such as Chanel, Christian Dior and Estée Lauder, which were globally recognised for their superior quality and expertise in the domain.

The worst blow came in 2020 with the spread of Covid-19, the global pandemic. With the entire world under lockdown, most economies contracted and discretionary spending, especially on luxury items, was severely hit. Globally, Gucci's sales plunged by 23% in the first quarter and by 44.7% in the second quarter.[88] In the mature markets, the decline was 39%, while the emerging markets dropped by 27% over the six months. However, the fashion house's strong digital capability did cushion its fall and the brand's online sales soared at an unprecedented rate.

Going forward, how should Gucci plan to emerge out of the crisis? The robust revival of its sales in China in the second quarter was a beacon of hope that other markets would follow suit once the lockdowns were lifted, and that the consumers would indulge themselves to compensate for the inability to consume during the lockdowns. However, so far, Eurozone, the UK and the US markets were exhibiting low consumer confidence indexes.[89] If these regions did not pick up as expected, Gucci carried the risk of becoming over reliant on one nationality. In 2019, the global luxury market was already skewed, with Chinese nationals contributing 35%, and with Covid-19, this was estimated to increase to 50% by 2025.[90]

The worst case for Gucci would be if the crisis left a long-lasting impact on luxury buying behaviour. Bizzarri feared, "Perhaps there will be more sobriety; we've seen this after other crises, in 2001 or 2008, there are cycles."[91] McKinsey's study in June 2020 across 45 countries reported that the pandemic had resulted in a significant consumer shift towards 'mindful shopping' with cutbacks on spending in discretionary categories such as apparel, footwear and travel, and trading down in value by opting for less expensive products (refer to **Exhibit 15** for details on the study findings).[92]

Given the different scenarios, what should Gucci's next steps be?

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EXHIBIT 1: WORLDWIDE PERSONAL LUXURY GOODS MARKET SIZE

Source: Kering Annual Report 2019

EXHIBIT 2: WORLDWIDE PERSONAL LUXURY GOODS MARKET BY CATEGORY

	Market value 2019 *(in € billions*	Reported YoY change	Category share
Apparel	64	+5%	23%
Leather goods	57	+11%	20%
Shoes	21	12%	7%
Watches	39	+1%	14%
Jewellery	21	+12%	7%
Perfumes and cosmetics	60	+7%	22%
Other (eyewear, textile accessories, etc.)	19	N/A	7%

Source: Kering Annual Report 2019

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EXHIBIT 3: TOP EIGHT LUXURY MARKETS IN 2019

Country	Size (in € billions)	YoY Growth	Share of total market
United States	75	+5%	27%
Mainland China	30	+30%	11%
Japan	24	+11%	9%
Italy	19	+1%	7%
United Kingdom	17	+4%	6%
France	17	+1%	6%
South Korea	15	+15%	5%
Germany	12	+1%	4%

Source: Kering Annual Report 2019

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EXHIBIT 4: A SNAPSHOT OF CHANEL PRODUCTS

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EXHIBIT 5: COLLECTIONS BY GUCCI'S KEY COMPETITORS

Luxury Brand	Collections
Chanel	Chanel ready to wear collection spring 2019, available at https://www.vogue.com/fashion-shows/spring-2019-ready-to-wear/chanel Chanel seasonal bag collection 2019, available at https://www.bragmybag.com/chanel-cruise-2019-seasonal-bag-collection/ Chanel haute couture collection show spring 2019, available at https://www.vogue.com/fashion-shows/spring-2019-couture/chanel Chanel eyewear spring-summer 2019, available at https://www.chanel.com/sg/fashion/news/2019/03/eyewear_spring-summer2019.html Chanel shoes collection 2019-20, available at https://lofficielbaltics.com/en/fashion/chanel-cruise-2019-20-shoes#image-63628
Louis Vuitton	Louis Vuitton ready to wear collection fall 2019, available at https://www.vogue.com/fashion-shows/fall-2019-ready-to-wear/louis-vuitton Louis Vuitton spring-summer collection and campaign 2019, available at https://eu.louisvuitton.com/eng-e1/stories/spring-summer-2019-collection# Louis Vuitton resort collection 2019, available at https://www.vogue.com/fashion-shows/resort-2019/louis-vuitton/slideshow/collection Louis Vuitton bags, shoes and ready to wear in menswear collection spring 2019, available at https://www.vogue.com/fashion-shows/spring-2019-menswear/louis-vuitton/slideshow/collection#36
Christian Dior	Christian Dior ready to wear fashion show and collection fall 2019, available at https://www.vogue.com/fashion-shows/fall-2019-ready-to-wear/christian-dior Christian Dior bag collection 2019, available at https://www.spottedfashion.com/2018/11/16/dior-cruise-2019-bag-collection-featuring-the-diorodeo-bag/ Christian Dior watch collection 2018, available at https://www.globalblue.com/destinations/france/paris/dior-exceptional-2018-timepieces#slide1 Christian Dior jewellery collection 2018, available at https://www.katerinaperez.com/articles/dior-dior-dior Christian Dior jewellery collection 2019 and 2020, available at https://www.pinterest.fr/thierrymartin/dior-gem-dior-2019-tie-dior-2020/

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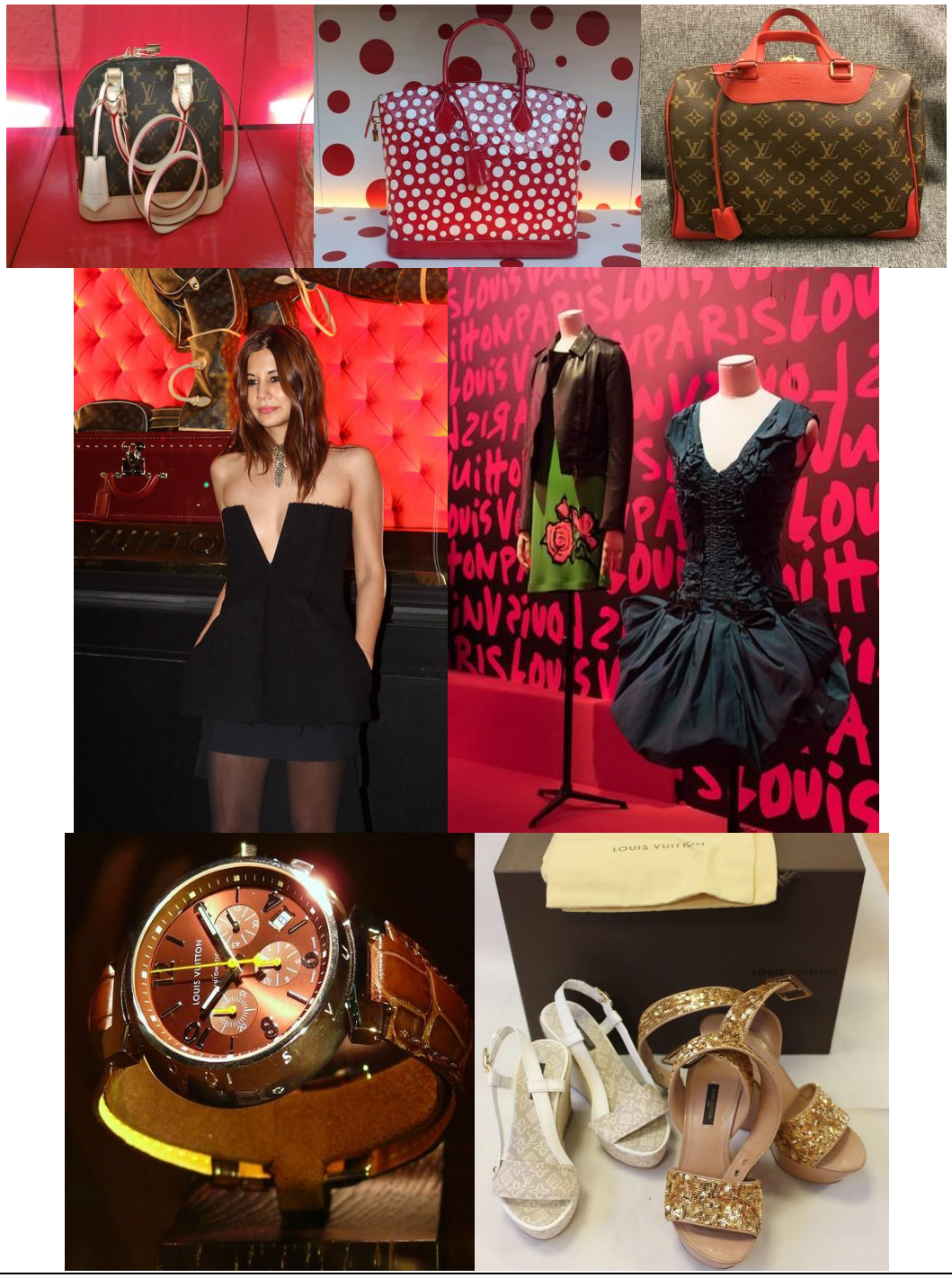
EXHIBIT 6: A SNAPSHOT OF LOUIS VUITTON PRODUCTS



Source: Free to use images under creative commons license, available at https://www.needpix.com/photo/download/455492/bag-louis-vuitton-brown-beige-noble-expensive-beautiful-pattern-free-pictures; https://www.flickr.com/photos/34128007@N04/7955385870; https://www.pikrepo.com/navll/brown-louis-vuitton-monogram-leather-handbag; https://www.flickr.com/photos/evarinaldiphotography/6441423397/in/photostream/; https://www.flickr.com/photos/vpickering/38509694915/in/photolist; https://www.flickr.com/photos/hmrcgovuk/12517209665/in/photolist, accessed October 2020.

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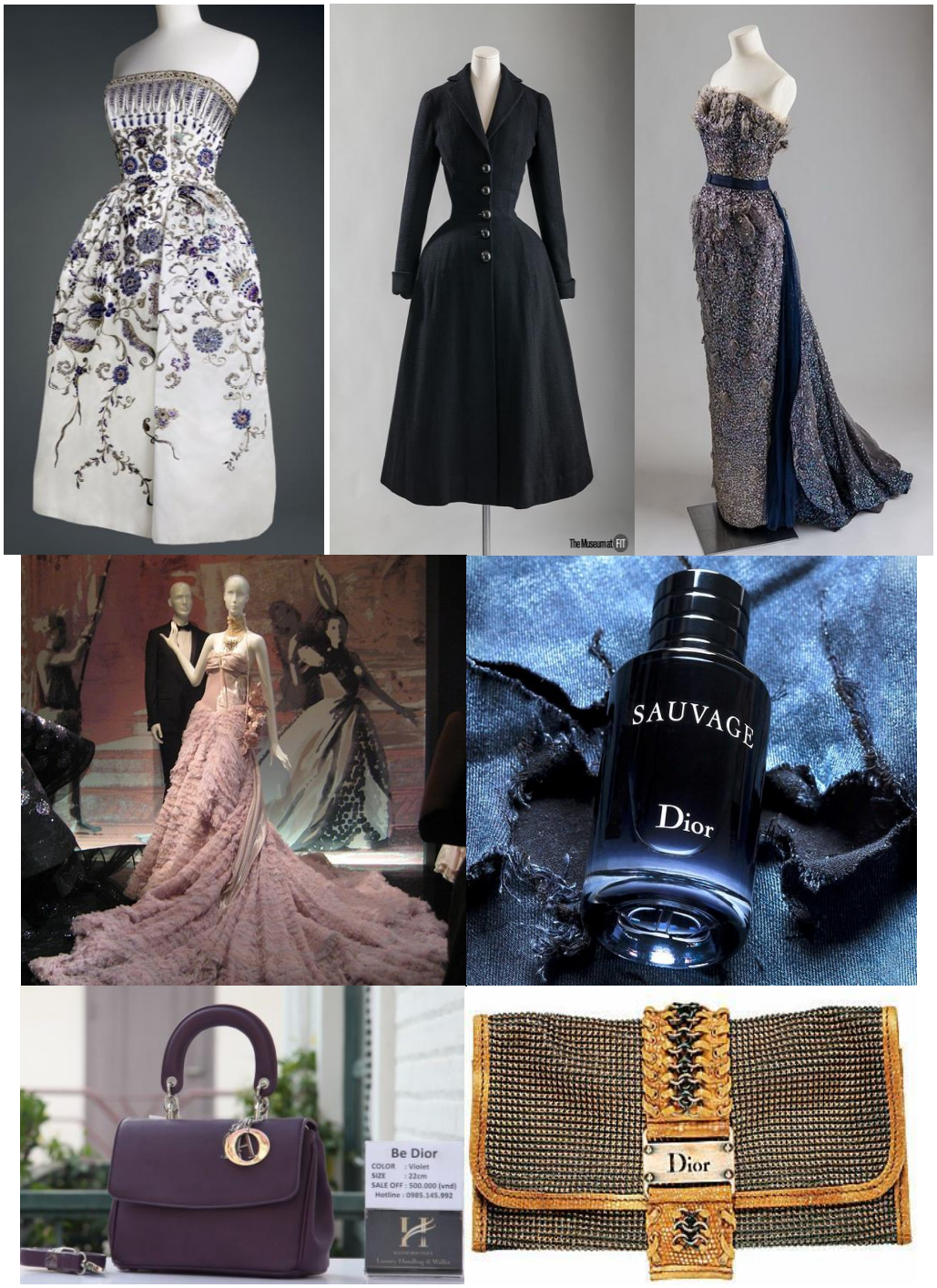
EXHIBIT 7: A SNAPSHOT OF CHRISTIAN DIOR PRODUCTS



Source: Free to use images under creative commons license, available at https://commons.wikimedia.org/wiki/File:Palmyre_gown_-_Dior.jpg; https://www.flickr.com/photos/museumatfit/49013463143/; https://www.flickr.com/photos/museumatfit/49014195882/in/photostream/Christian https://commons.wikimedia.org/wiki/File:Christian_Dior_(Moscow_exhibition,_2011)_18.jpg https://www.flickr.com/photos/150488282@N07/38595681041/in/photolist; https://pixabay.com/photos/bag-dior-x%E1%BB%8Bn-868866/; and https://www.flickr.com/photos/queenbeebh/9107116329/in/photolist-, accessed October 2020.

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EXHIBIT 8: GUCCI'S BAMBOO BAGS

Source: Free to use images under creative commons license, available at https://www.purseblog.com/gucci/gucci-bamboo-bags-an-iconic-history/; https://www.pxfuel.com/en/free-photo-ozucd; https://www.flickr.com/photos/28964535@N08/3984624876/in/photolist-; https://commons.wikimedia.org/wiki/File:Gucci,_bamboo_bag,_1960-65_ca._(firenze,_archivio_storico_gucci).jpg https://www.jomashop.com/gucci-bamboo-handle-marmont-shoulder-bag-602270-0olfx- https://www.matchesfashion.com/intl/products/1320819?country=SGP&rffrid=sem.Google.n=g.cid=927730487.aid=51878881648.k=.mty=.d=c.adp=.cr=221007431193.tid=pla-, accessed October 2020.

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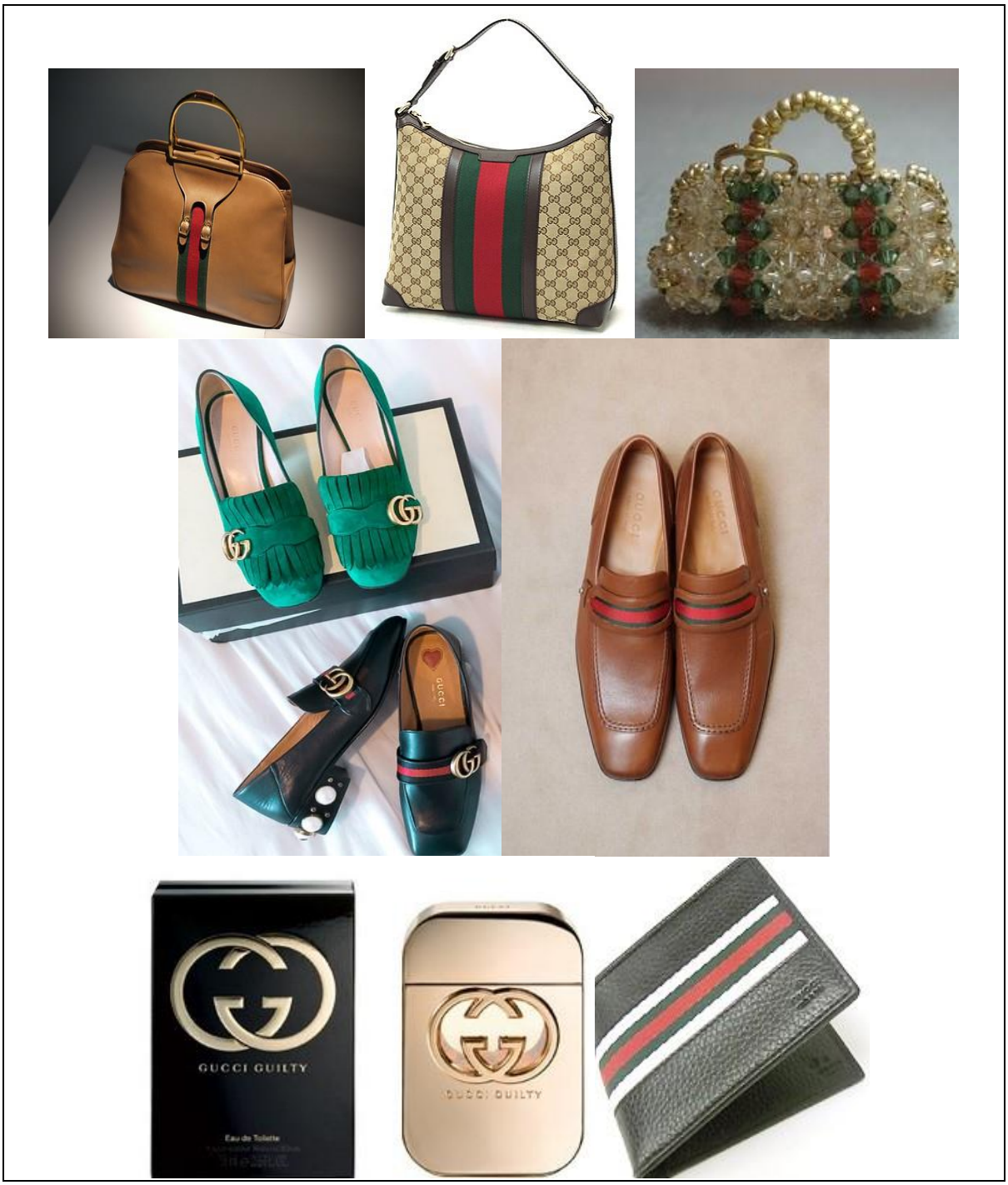
EXHIBIT 9: GUCCI PRODUCTS WITH ITS LOGO AND STRIPES



Source: Free to use images under creative commons license, available at https://www.flickr.com/photos/mathieulebreton/7170056502/in/photolist; https://www.flickr.com/photos/my_beading_heart/7146932125/in/photolist; https://www.flickr.com/photos/queenbeebh/6448368327/in/photolist; https://www.flickr.com/photos/fashioneggplant/31296530874/in/photolist https://www.flickr.com/photos/22960092@N08/2406072486/in/photolist- https://www.flickr.com/photos/oceanwalkmarketinginc/5835858879/in/photolist https://www.flickr.com/photos/queenbeebh/6338262504/in/photolist, accessed October 2020.

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EXHIBIT 10: COLLECTIONS AND CAMPAIGNS BY GUCCI'S CREATIVE DIRECTORS

Creative Director	Designs Pictures / Slide shows	Fashion Show Videos / Interviews
Tom Ford **1994 - 2004**	Tom Ford's iconic designs for Gucci, available at Harper's Bazaar, "Proof That Tom Ford-Era Gucci was fashion at its Peak", 28 August 2018, available at https://www.harpersbazaar.com.au/fashion/tom-ford-birthday-gucci-17236	Tom Ford's spring 1996 fashion show, video available at, https://www.youtube.com/watch?v=i4o-zOjMrjs Tom Ford's fall 1995 fashion show, video available at, https://www.youtube.com/watch?v=VRqMzhwikks
Frida Giannini **2006 - 2014**	Iconic designs by Frida Giannini, available at Dazed, "Frida Giannini's Gucci legacy", 15 December 2014, https://www.dazeddigital.com/fashion/gallery/18940/0/frida-giannini-s-gucci	Frida Giannini's fall shows at Milan Fashion Week fall 2007, video available at https://www.youtube.com/watch?v=_VE2gIABkS8 Frida Giannini's ready to wear fall 2013 show, video available at https://www.vogue.com/video/watch/fall-2013-ready-to-wear-gucci Frida Giannini's interview, video available at https://www.youtube.com/watch?v=3xydoAm6o_g&list=PLHSN2GKzdMVmE8ZwelkCjrrhez0mghCKq&index=24
Alessandro Michele **2015 onwards**	Alessandro Michele ready to wear fall 2015 collection, available at https://www.vogue.com/fashion-shows/fall-2015-ready-to-wear/gucci/slideshow/collection#26	Interview of Alessandro Michele, "In the Studio", New York Times, September 2015, video available at https://www.youtube.com/watch?v=5jio6v0sCko Alessandro Michele, Milan, Gucci Spring Summer 2016 -Fashion Channel, September 2018, video available at https://www.youtube.com/watch?v=MorY6LPWu0E Alessandro Michele, Gucci Spring Summer 2019 full fashion show, video available at https://www.youtube.com/watch?v=plK47P-99QY
Gucci's advertising campaigns by the three creative directors		Bagaholic 101, "Gucci Heritage, Icons, and Beyond: Gucci Print Ads and Advertising Campaigns", 18 September 2018, available at https://bagaholic101.com/gucci-heritage-icons-and-beyond-gucci-print-ads-and-advertising-campaigns/

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EXHIBIT 11: GUCCI CAMPAIGN BY TOM FORD

Source: Free to use images under creative common license, available at https://www.flickr.com/photos/calliope_fashion/386597936/in/photolist; For Gucci's controversial 'G' commercial, refer to https://www.flickr.com/photos/calliope_fashion/386598094/in/photolist

EXHIBIT 12: GUCCI DESIGN BY ALESSANDRO MICHELE

Source: Alessandro Michele design pre-fall 2019, free image under creative common license available at https://www.flickr.com/photos/rverc/47936818508/in/photolist-2g31J3Q-2iifUdk-ARTfev/

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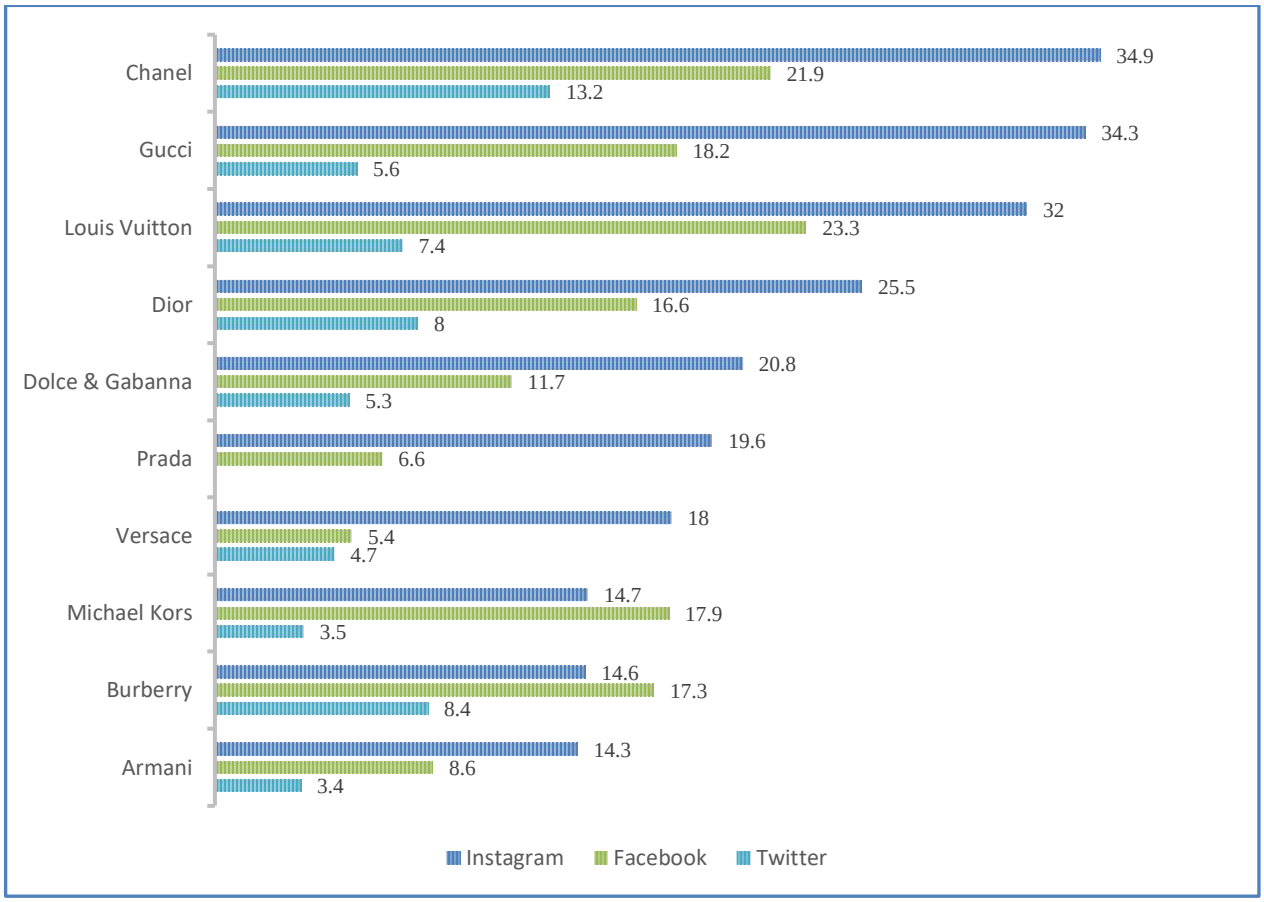
EXHIBIT 13: TOP LUXURY BRANDS SOCIAL MEDIA FOLLOWERS, MAY 2019 (IN MILLIONS)



Source: Statista, "Leading luxury brands with the most followers on Instagram as of May 2019", https://www.statista.com/statistics/483753/leading-luxury-brands-instagram-followers/; "Leading luxury brands with the most followers on Facebook as of May 2019", https://www.statista.com/statistics/693747/luxury-brands-follower-facebook/; and "Leading luxury brands with the most followers on Twitter as of May 2019", https://www-statista-com/statistics/693784/luxury-brands-follower-twitter/; accessed September 2020.

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EXHIBIT 14: FINANCIAL PERFORMANCE OF GUCCI 2014 – 2020

In Euro million	2015	2016	2017	2018	2019	First Half 2020
Revenue	3,898	4,378	6,211	8,285	9,628	3,072
Recurring operating income	1,032	1,256	2,124	3,275	3,947	929
EBITDA	1,206	1,425	2,331	3,515	4,464	1,236
Gross operating investments*	192.8	184.7	248.5	312.7	337.3	98.4
Average headcount	10,570	10,253	11,543	14,628	17,157	18,208
Directly operated stores	525	520	529	469	487	489

* Purchases of property, plant and equipment and intangible assets

Source: Kering Annual Reports

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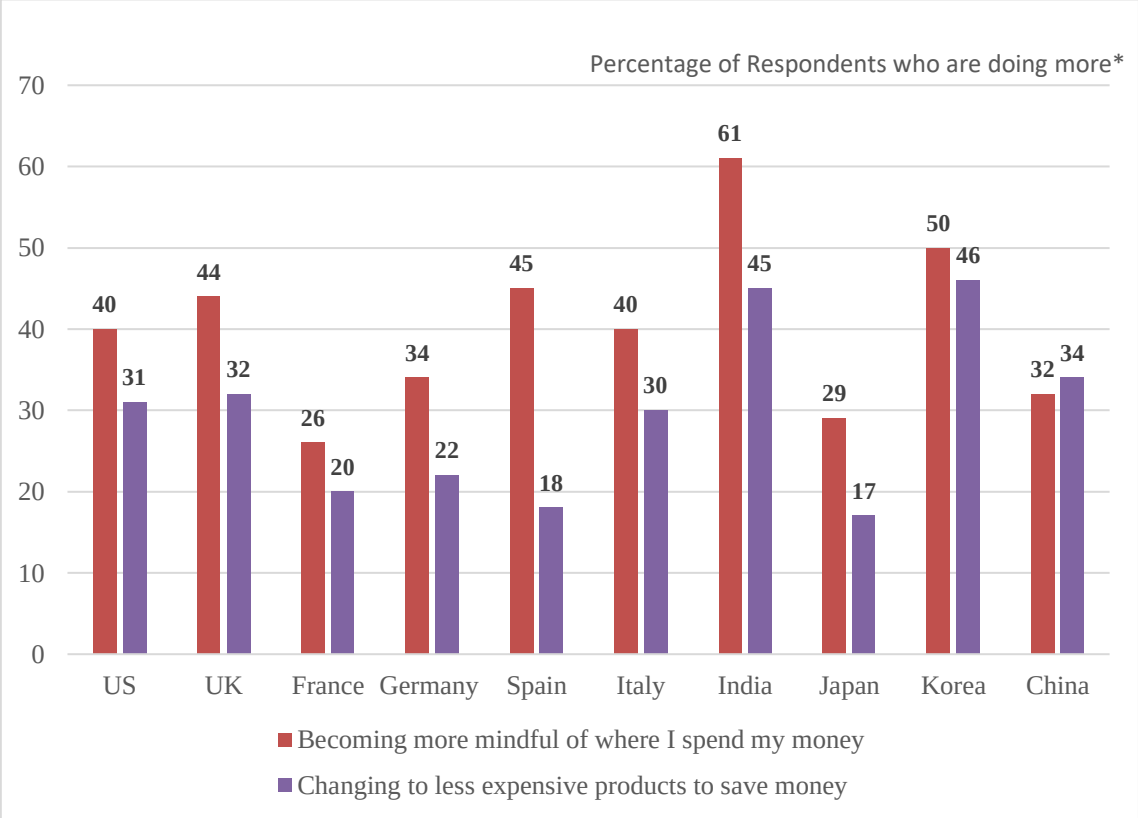
EXHIBIT 15: CHANGE IN SHOPPING MINDSET SINCE COVID-19 (JUNE 2020)



*Survey conducted globally between June 15 and June 21, 2020

Source: McKinsey & Company, "Covid-19 Consumer Pulse Surveys", https://www.mckinsey.com/business-functions/marketing-and-sales/our-insights/a-global-view-of-how-consumer-behavior-is-changing-amid-covid-19, accessed September 2020.

Endnotes:

[1] Polimoda, "The Poetoc Reactivation of Gucci", https://www.polimoda.com/the-poetic-reactivation-of-gucci, accessed August 2020.
[2] 1 Euro = US$1.12, average currency exchange rate for 2019; can be used for all Euro to USD conversions, unless specified otherwise.
[3] Dominic-Madori Davis, "Louis Vuitton and Gucci are the Only 2 Luxury Companies to Consistently Rank among the World's Most Valuable Brands for the Last 20 Years", Business Insider, 24 January, 2020, https://www.businessinsider.com/how-gucci-louis-vuitton-became-two-most-valuable-luxury-brands-2020-01, accessed August 2020.
[4] Saheli Roy Choudhury, "Global Luxury Sales Could Collapse up to 60% in the Second Quarter, Consulting Firm Says", CNBC, 8 May 2020, https://www.cnbc.com/2020/05/08/coroanvirus-bain-report-on-global-luxury-sales-for-2020-and-beyond.html, accessed August 2020.
[5] The World Bank, "Unemployment, total (% of total labor force)", https://data.worldbank.org/indicator/SL.UEM.TOTL.ZS, accessed September 2020.
[6] S & P Global, "Economic Forecasts July 2020", https://www.spglobal.com/ratings/en/research-insights/topics/economic-reports-july-2020#:~:text=We%20now%20forecast%20global%20GDP,emerging%20markets%2C%20led%20by%20India, accessed September 2020.
[7] Luisa Zargani, "Marco Bizzarri on Possible Post-Coronavirus Scenarios, Supporting Creativity", WWD, 26 March 2020, https://wwd.com/fashion-news/designer-luxury/marco-bizzarri-on-possible-post-coronavirus-scenarios-supporting-creativity-1203547920/, accessed September 2020.
[8] Claudia D'Arpizio, Federica Levato, Filippo Prete and Joëlle de Montgolfier, "Eight Themes That Are Rewriting the Future of Luxury Goods", Bain & Company, 5 February, 2020, https://www.bain.com/insights/eight-themes-that-are-rewriting-the-future-of-luxury-goods/, accessed September 2020.
[9] McKinsey, "The State of Fashion 2020", https://www.mckinsey.com/~/media/mckinsey/industries/retail/our%20insights/the%20state%20of%20fashion%202020%20navigating%20uncertainty/the-state-of-fashion-2020-final.ashx, accessed September 2020.

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[10] Kering Annual Report 2019
[11] Statista, "Share of the Global Personal Luxury Good Market by Channel", https://www-statista-com.libproxy.smu.edu.sg/statistics/883157/share-of-the-global-personal-luxury-goods-market-by-channel/, accessed September 2020.
[12] Claudia D'Arpizio, Federica Levato, Filippo Prete and Joëlle de Montgolfier, "Eight Themes That Are Rewriting the Future of Luxury Goods", Bain & Company, 5 February, 2020, https://www.bain.com/insights/eight-themes-that-are-rewriting-the-future-of-luxury-goods/, accessed September 2020.
[13]Ibid.
[14] Chanel, "Financial Results", https://www.chanel.com/us/financial-results/, accessed September 2020.
[15] 1 USD = 0.88 Euro, March 2019
[16] LVMH Annual Report 2019, https://r.lvmh-static.com/uploads/2020/04/lvmh_rapport-annuel_gb_2019.pdf, accessed September 2020.
[17] Ibid.
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[20] McKinsey, "The State of Fashion 2020", https://www.mckinsey.com/~/media/...final.ashx, accessed September 2020.
[21] Jennifer Murtell, "The Rise of Gender-Neutral Branding", Packaging Strategies, 12 September 2019, https://www.packagingstrategies.com/articles/95077-the-rise-of-gender-neutral-branding, accessed September 2020.
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[23] Kate Holton, "Burberry Ends Bonfire of the Luxuries after Waste Outcry", Reuters, 6 September 2018, https://www.reuters.com/..., accessed September 2020.
[24] McKinsey, "The State of Fashion 2020", https://www.mckinsey.com/~/media/mckinsey/...ashx, accessed September 2020.
[25] Ibid.
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